

Article | 29 June 2026

COMMODITIES, FOOD & AGRI ENERGY

The curious case of collapsing oil prices

Oil prices have sold off aggressively following the US-Iran Memorandum of Understanding. While we believe the move is overdone, we look at some of the reasons behind the strong pullback in prices



The oil market is treating this temporary US-Iran ceasefire as a permanent deal. This is clearly not the case.

The oil market prices in a quick recovery of Persian Gulf supplies

The Memorandum of Understanding (MoU) between the US and Iran has led to a significant sell-off in the oil market – far more aggressive than most analysts were expecting, including us.

The sell-off has been driven firstly by the premature expectation of a normalisation in oil supply from the Persian Gulf, and secondly, clear weakness in the physical market. However, we believe that the market is being too optimistic over the speed of the supply recovery as well as its sustainability. Furthermore, we have seen a significant tightening in global oil inventories since the start of the conflict, which leaves the market more vulnerable relative to the pre-war environment.

The price action in recent weeks reflects a market that is treating this temporary ceasefire between the US and Iran as a permanent deal. This is clearly not the case, and as we have

seen over the last four months, the situation can change very quickly. It took long enough to agree on a temporary ceasefire. Reaching a permanent deal which tackles the nuclear issue within 60 days would be very optimistic. Of course, there is always the potential for the ceasefire to be extended, which would effectively be kicking the can down the road.

Fundamentally, while a reopening of the Strait of Hormuz is seeing oil and LNG flows pick up, they remain well below pre-war levels. Our balance sheet continues to show that the oil market will be tight through the third quarter, and this follows the significant inventory drawdowns since March. We believe the market has overshot to the downside. However, our assumption is that flows will only get close to pre-war levels towards the end of the third quarter, while current price levels imply a return to normal by the end of July.

At close to \$70/bbl, the oil market currently has close to zero geopolitical risk premium priced in. [Under our base case, we had forecast ICE Brent to average \\$85/bbl in 4Q26](#). Clearly, more bearish sentiment combined with a quicker supply recovery poses a risk to this view.

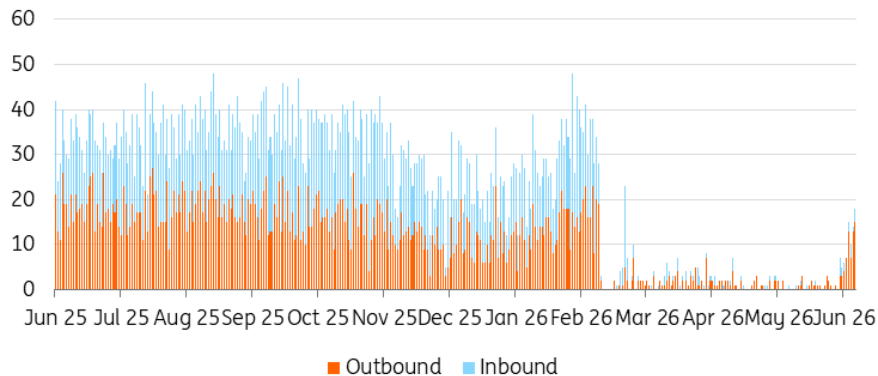
In this note, we look at some of the key reasons why the market has sold off so aggressively.

Persian Gulf oil flows are resuming

Oil flows through the Strait of Hormuz are picking up, vessel tracking data shows an increase in crossings, although for now they clearly remain well below pre-war levels. Over the last week, it is estimated that oil flows have averaged around 7m b/d vs pre-war flows of 20m b/d. However, we do not need to see Strait of Hormuz oil flows return to 20m b/d in order for Persian Gulf oil supply to fully recover. Given that some Saudi and UAE oil is bypassing the strait with the help of pipeline diversions, we only need to see flows through the strait return to around 14m b/d to get back to pre-war levels.

However, the key uncertainty is whether these flows can be sustained. A lot of these vessel movements are essentially vessels which have been trapped for months in the Persian Gulf finally moving out. Inbound vessel movements are more modest, which suggests flows could pull back once previously stranded ships have left the Persian Gulf.

Strait of Hormuz oil tanker crossings rise but dominated by outbound movements (number of tankers)



Source: LSEG, ING Research

Note: Vessels which turn off their AIS will not be reflected in this data

✓ Iran sanction waiver

A condition of the MoU was that, in addition to the US lifting its blockade on Iranian ports, sanctions would be eased on Iranian oil exports. The US has kept to this promise with the blockade lifted and a temporary 60-day waiver on sanctions. The lifting of the US blockade is more important when it comes to seeing a recovery in Iranian oil exports. The easing in sanctions does open the door for further potential buyers of Iranian oil (rather than almost exclusively China), which suggests that discounts on Iranian crude oil could narrow, rather than lead to a dramatic increase in Iranian supply. In order to see Iranian oil output increase, we would need to see a more permanent easing in sanctions, which would then potentially see Iran managing to increase output by about 500k b/d from pre-war levels.

✓ The physical oil market is weak

A key factor behind the weakness is that ultimately, the physical oil market is weak at the moment. Buyers have been deferring purchases in anticipation of lower prices, and so are happy to draw down inventory instead. The weakness in the physical market is highlighted by the widening discounts for a number of crude grades. Dated Brent is trading at a discount to Brent futures and there have been reports of China reselling West African cargoes.

However, restocking will need to happen at some stage, as the continued drawing down of inventory is not sustainable. The forward curve still does not provide the biggest incentive to restock, so possibly we may have to see the forward curve flatten and possibly even move into contango for more meaningful restocking to occur.

And while there will be a lot of attention on when and if we see a recovery in China's crude oil

imports, it is unlikely that we see significant restocking from China given that while imports have fallen drastically following the war, inventory drawdowns have been much more modest. The restocking demand we expect will come from elsewhere.

Dated Brent vs front-line Brent futures- DFL (US\$/bbl)



Source: LSEG, ING Research

✓ Return of Gulf flows coincides with continued SPR releases

The pickup in oil flows from the Persian Gulf is also coinciding with the continued release of oil from government strategic reserves. IEA member countries early on in the conflict agreed to a coordinated release of 412m barrels – the largest on record. These volumes continue to come onto the market, and if we look at just the US, releases from the Strategic Petroleum Reserve have averaged more than 1.2m b/d since May.

✓ Demand destruction has been more aggressive than expected

Expectations had been that demand destruction in the second quarter of the year was anywhere between 2-3m b/d, with most of this coming from the petrochemical sector and aviation. However, more recent estimates from the IEA suggest that the demand hit has been far more aggressive than expected. The IEA estimates that 2Q26 demand fell around 5m b/d YoY, compared to a previous estimate of a 2.45m b/d year-on-year decline over the quarter. Demand appears to have been much more reactive beyond the sectors and fuels initially expected. More aggressive demand destruction would also mean that the degree to which the market has had to rely on inventories is somewhat less. Looking forward, the key question is how quickly demand recovers. The IEA expects that global oil demand will only return to YoY growth in the final quarter of this year.



Growing surplus expectations for 2027

There is a growing expectation that the global oil market will be well supplied through 2027, assuming obviously that the return of Persian Gulf supply continues. While the 2027 supply/demand balance means little for current fundamentals, markets are forward-looking, and so this will not be helping sentiment.

The higher prices seen through March and much of the second quarter mean that there has been an increase in US drilling activity. As a result, US crude oil production is expected to grow in the region of 500k b/d YoY in 2027.

In addition, the UAE's exit from OPEC leaves room for stronger supply from the Middle East. The UAE had been producing around 3.5m b/d pre-war, and with current capacity of almost 4.3m b/d and plans to increase this to 5m b/d in 2027, there is sizeable upside to supply next year.

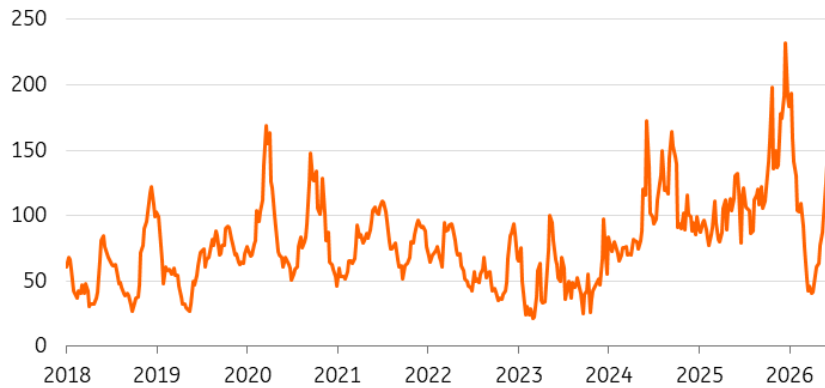
Furthermore, Iran is another potential source of additional supply. However, this will largely depend on whether there is a more permanent easing in US sanctions on Iran. If this were the case, we could see Iran increase output by around 500k b/d from pre-war levels to around 3.8m b/d.

Some may argue that if we move to significant oversupply in 2027, we will see OPEC+ manage supply in an attempt to rebalance the market. However, this may be more difficult to put into practice. Gulf countries have suffered in recent months due to the war and the blockade of the Strait of Hormuz, so there will likely be pushback if producers are asked to rein in supply. Iraq has already made it clear that it wants a higher production quota following the war. And with the recent exit of the UAE and threats from Iraq, the group will want to be careful about pushing members too much.

A significant speculative short has built up in the oil market

Through the war, there was a reluctance amongst market participants to hold too much risk in the market, given the headline-driven nature of the market and how one tweet could lead to wild swings in prices. However, since the temporary peace deal, we have seen a sizeable amount of fresh selling coming into the oil market. In fact, the speculative gross short in ICE Brent is near record highs, and while this highlights the bearish sentiment in the market, it also suggests that the speculative short is somewhat stretched, which may limit the appetite for significant further fresh selling.

The managed money gross short in ICE Brent is near record levels (000 lots)



Source: ICE, ING Research

✓ Consumers are not jumping into the market to hedge

Tying in with buyers deferring purchases in the physical market, in the futures market, consumers are also holding back from hedging, possibly in anticipation of lower prices. While recent Commitment of Traders data does show that ICE Brent consumer longs have edged higher recently, they are still well below pre-war levels.

ICE Brent commercial gross long (000 lots)



Source: ICE, ING Research

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The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

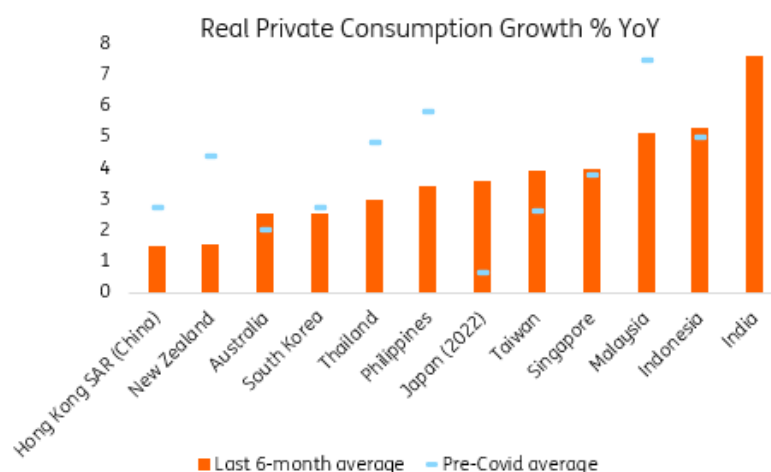
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

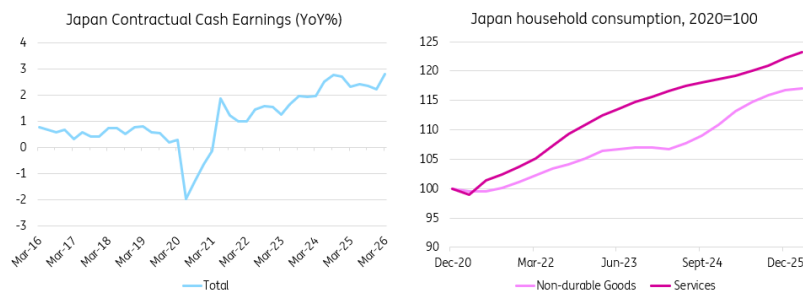
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

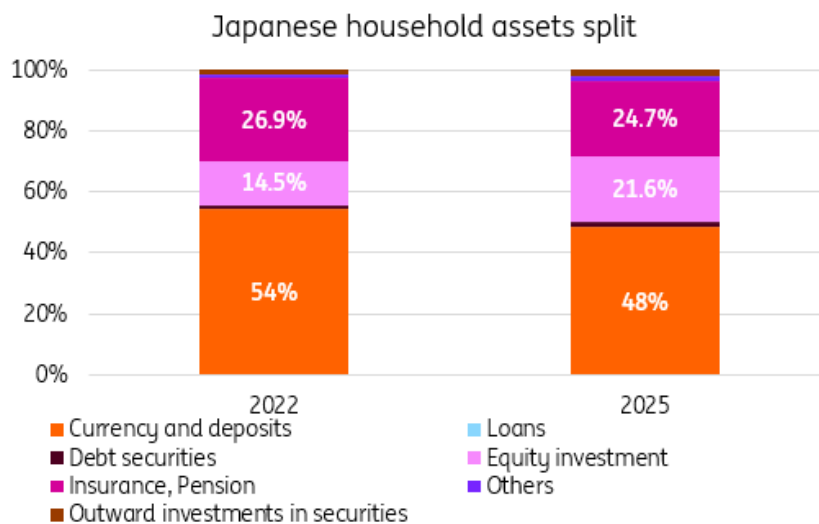
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

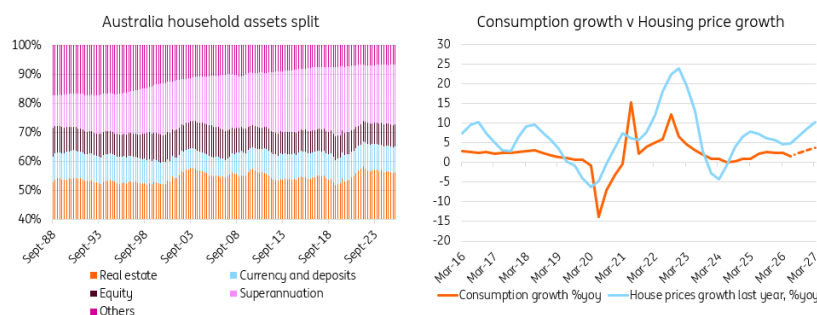
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

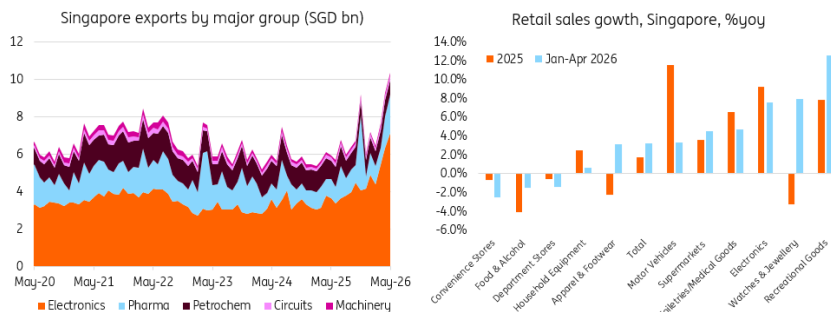
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



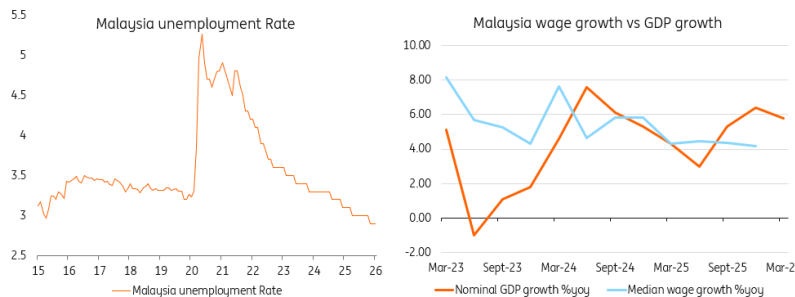
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

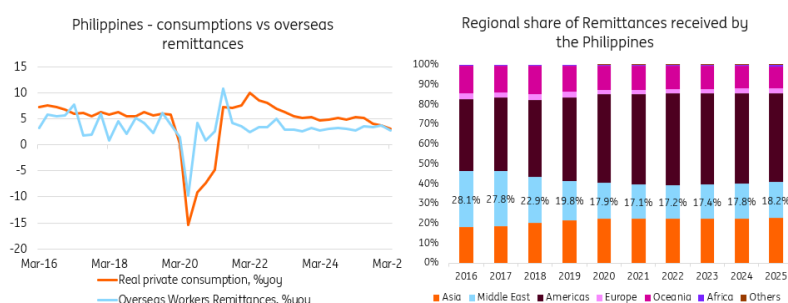
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

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Article | 26 June 2026

KEY EVENTS

THINK Ahead: US jobs data and the ECB's inflation test

In a holiday-shortened week in the US, Thursday's June jobs report should be a cause for cheer, while falling gasoline prices are also helping ease inflation pressure. In Europe, eurozone inflation data will test ECB rate hike expectations



On 4 July, the US will celebrate the 250th anniversary of the signing of the Declaration of Independence

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Thu): America will be celebrating the 250th anniversary of the signing of the Declaration of Independence next Saturday, resulting in a holiday-shortened week. Thursday's June jobs report should also be a cause for cheer, with the fourth consecutive 100k+ reading for non-farm payrolls having averaged merely 8,500 per month between January 2025 and February 2026. While a print of around 110k will not be especially stellar, it will be enough to keep the market pricing Federal Reserve interest rate hikes. The ongoing fall in energy prices is another cause for celebration, with gasoline prices set to break below \$3.50 per gallon imminently. This will leave more money in consumers' pockets while also prompting sharply lower inflation readings over the next few months. Manufacturing surveys also suggest a decent ISM report, which, all

in all, means we expect a week that should be supportive for risk appetite.

Eurozone (Bert Colijn)

- **June Economic Sentiment Indicator** (Mon): After a sluggish PMI, the question is whether the second big survey on the eurozone economy shows more improvement. The Middle East deal will not have been fully incorporated yet, but with oil prices already moderating before the deal was struck, sentiment should see some improvement. Consumer confidence, part of the indicator, has already been released and indeed ticked up. Not only sentiment about output, but also inflation sentiment is very relevant. If fewer companies intend to price through higher costs, this will be a clear dovish sign for the ECB.
- **Inflation** (Wed): The key indicator for next week will be inflation for June from a eurozone perspective. Some positive notes on inflation recently, as businesses seem more wary about increasing prices and, most importantly, prices at the pump have come down in recent weeks, which brings the annual increase down compared to May. Markets have been adjusting ECB rate hike expectations down and the June number will be a clear mark for how concerning the inflation situation is now that the deal will bring additional relief.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **June Flash CPI** (Tue): We project a further decline in headline inflation amid a visible decline in fuel prices vs. the previous month, even though the excise duty on gasoline and diesel was restored to its regular levels from the beginning of the year. Food price inflation remains benign, and core inflation was likely broadly unchanged compared to May. All in all, the National Bank of Poland is unlikely to signal any deviation from its wait-and-see policy stance in early July, and the new inflation projection should show that inflation might be heading towards the target, potentially as early as 2Q27, meaning there is no need to hike rates. At the same time, the return to cuts is unlikely any time soon, given the uncertainty regarding the impact of the recent Middle East conflict on prospects for the global economy.

Czech Republic (David Havrlant)

- **June Manufacturing PMI** (Wed): The Statistical Office will likely confirm the 1Q GDP take, though we see some scope for upward revision of the soft quarterly growth. Industrial PMI is expected to have marginally deteriorated in June, while it remained safely in expansionary territory, proving a welcome resilience of Czech manufacturing to the Middle Eastern disturbance.

Turkey (Muhammet Mercan)

- **Inflation** (Fri): We expect monthly inflation to moderate further in June to 0.8%, resuming a downtrend in the annual figure to 31.9% from 32.6% a month ago. This would be driven by unprocessed food prices thanks to a recovery in agricultural production and favourable rainfall so far this year, while the rapid decline in oil prices is also supportive for energy inflation.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time	Data/event	ING	Prev.
Monday 29 June				
Eurozone	0900	May M3 Money Supply	2.8	2.7
	1000	Jun Business Climate	0.1	-0.3
	1000	Jun Economic Sentiment	94.4	93.5
	1000	Jun Consumer Confidence Final	-	-19
Spain	0800	Jun CPI Flash NSA (MoM%/YoY%)	-/-	0.1/3.2
	0800	May Retail Sales (MoM%/YoY%)	-/-	-1.5/0.8
Tuesday 30 June				
US	1400	Apr Case-Shiller 20 (MoM%/YoY%)	-0.2/0.9	-0.2/0.8
	1445	Jun Chicago PMI	55.8	62.7
	1500	Jun Consumer Confidence	97.5	93.1
	1500	May JOLTS job openingsd (000s)	7250	7618
Germany	0700	May Retail Sales Real (MoM%/YoY%)	0.4/0.0	-0.3/-0.3
	0855	Jun Unemployment Rate	6.4	6.3
	1300	Jun CPI (MoM%/YoY%)	-/-	-0.2/2.6
France	0745	Jun CPI Prelim (MoM%/YoY%)	-/-	0.1/2.4
UK	0700	Q1 GDP Growth (QoQ%/YoY%)	-/-	0.6/1.1
	0700	Q1 Current Account GBP (GBP bn)	-	-18.4
Italy	1000	Jun CPI Prelim (MoM%/YoY%)	0.4/3.4	0.4/3.2
Canada	1330	Apr GDP (MoM%)	-	-0.1
Portugal	1100	Jun CPI Flash (MoM%/YoY%)	-/-	0.2/3.3
Wednesday 1 July				
US	1315	Jun ADP National Employment (000s)	110	122
	1500	Jun ISM Manufacturing PMI	54.2	54
	1500	Jun ISM Manufacturing Prices Paid	72	82.1
Eurozone	0900	Jun S&P Manufacturing PMI Final	51.6	51.6
	1000	Jun CPI Flash (YoY%)	3.1	3.2
	1000	Jun Core CPI Flash (YoY%)	2.6	2.6
Germany	0855	Jun S&P Global Manufacturing PMI Final	50.1	50.1
UK	0930	Jun S&P Global Manufacturing PMI Final	-	53.9
Italy	0845	Jun S&P Global Manufacturing PMI	53	52.9
Thursday 2 July				
US	1330	Initial Jobless Claims (000s)	225	215
	1330	Jun Non-Farm Payrolls (000s)	110	172
	1330	Jun Private Payrolls (000s)	115	120
	1330	Jun Unemployment Rate	4.3	4.3
	1500	May Factory Orders (MoM%)	-3.7	4.8
Eurozone	1000	May Unemployment Rate	-	6.3
Italy	0900	May Unemployment Rate	5.1	5.1
Switzerland	0730	Jun CPI (MoM%/YoY%)	-/-	0.2/0.6
Friday 3 July				
US	-	National Holiday	-	-
Eurozone	0900	Jun S&P Global Services PMI Final	-	47.7
	0900	Jun S&P Global Composite PMI Final	-	48.5
Germany	0855	Jun S&P Global Services PMI Final	48.1	48.1
	0855	Jun S&P Global Composite PMI Final	48.8	48.8
France	0745	May Industrial Output (MoM%)	-	0.1
	0850	Jun S&P Global Composite PMI	-	44.9
UK	0930	Jun S&P Global Services PMI Final	-	49.3
	0930	Jun S&P Global Composite PMI Final	-	49.7
Italy	0845	Jun S&P Global Composite PMI	-	50.4
Spain	0815	Jun S&P Global Services PMI	-	50.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 29 June				
Turkey	1200	May Bank NPL Ratio	-	2.7
	0800	Jun Economic Confidence	-	97.2
Kazakhstan		- Q2 GDP (YoY%)	-	3
Tuesday 30 June				
Turkey	0800	May Trade Balance Final (USD bn)	-5.6	-8.5
Czech Rep	0800	Q1 Revised GDP (QoQ%/YoY%)	0.2/2.2	0.2/2.2
Hungary	0730	May Trade Balance Final (EUR mn)	-530	370
Poland	0830	June flash CPI (MoM%/YoY%)	-0.3/3.1	-0.1/2.9
Wednesday 1 July				
Russia	0700	Jun S&P Global Manufacturing PMI	-	49.8
	1700	May Retail Sales (YoY%)	5.0	6.5
	1700	May Unemployment Rate	2.2	2.2
Turkey	0800	Jun Manufacturing PMI	-	49.8
Poland	0800	Jun S&P Global Manufacturing PMI	49.7	49.4
Czech Rep	0830	Jun S&P Global Manufacturing PMI	51.8	52.2
	1300	Jun Budget Balance (CZK bn)	-154.0	-170.2
Hungary	0800	Jun Manufacturing PMI	49.9	50.2
Kazakhstan		- Jun CPI (MoM%/YoY%)	0.7/10.2	0.7/10.4
Thursday 2 July				
Russia		- May GDP (YoY%) Monthly	0.5	1.3
Turkey	1230	Gross FX Reserves (USD bn)	-	53.1
Friday 3 July				
Russia	0700	Jun S&P Global Services PMI	-	48.7
	0700	Jun S&P Global Composite PMI	-	49.2
Turkey	0800	Jun CPI (MoM%/YoY%)	0.8/31.9	1.7/32.6

Source: Refinitiv, ING

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Article | 25 June 2026

ENERGY UNITED STATES AI

Three trends to watch in the US data centre industry

From behind-the-meter power to new data centre hubs and 'boomtowns', an AI-era makeover is now reshaping energy, infrastructure and local economies across the US



A large-scale Google data centre in Nevada. Data centres are now driving an infrastructure revolution and energy demand growth at a rate not seen in decades

AI has become a key driver of economic growth in the US, with power constraints emerging as a defining factor shaping how sectors evolve. As AI-driven data centre expansion accelerates, it is reshaping energy demand, infrastructure needs, and local economies.

For instance, data centres are driving energy demand growth at a rate not seen in decades, requiring significantly more power than the grid can deliver in a 12 to 18-month span. Moreover, data centres are driving an infrastructure revolution, requiring significant buildouts necessitating new real estate and fibre networks in remote areas. All this will also affect affordability for the public, putting the topic at the forefront of data centre development.

Against this backdrop, we're closely tracking several key data centre trends in the US. This article explores behind-the-meter power, the rise of ultra-large hubs, and the emergence of data centre 'boomtowns'. A follow-up piece will examine modular solutions and evolving supply chains.

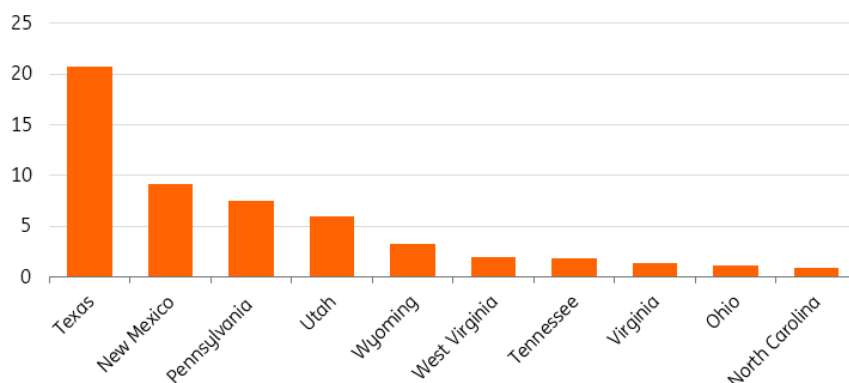
1. How data centres' own power can be a new grid asset – and more than a stopgap

Power availability is now a first-order concern for the data centre industry. Grid interconnection for both data centres and new power generation remains slow, often exceeding **four-year timelines**. Multiple reforms are underway, such as [recent action](#) by the Federal Energy Regulatory Commission (FERC) to accelerate large power consumer interconnection, but the effects take time to be seen.

As data centres race to bring new capacity online in the next 12-18 months, many are turning to on-site (or 'behind-the-meter') power. This means generating and using electricity directly on their premises, bypassing the grid.

Conservatively, over **55GW** of behind-the-meter capacity is being planned at US data centres. That is higher than the total installed power capacity in the state of New York. Texas has the most planned on-site capacity, followed by New Mexico and Pennsylvania.

US planned data centre on-site power generation capacity in top 10 states



Source: ING Research, Cleanview

The US accounts for most of the world's planned data centre behind-the-meter power capacity. This is driven by a huge project pipeline and cheap gas resources. Indeed, 75% of the planned US onsite power capacity is expected to be from natural gas through turbines, engines, and fuel cells. Renewables could also be a niche alternative, such as Switch's solar and battery-powered Citadel Campus in Nevada.

Most data centres view on-site generation as a 'bridging solution'

Still, most data centres view on-site generation as a 'bridging solution.' In the long term, the

majority would still return to relying on grid power. In fact, many data centres are developing behind-the-meter solutions while waiting to be connected to the grid.

An emerging issue today, however, is managing rapid load surges (e.g., over 20MW of surge in 0.25 seconds) thanks to shifts in AI workload-driven data centre design. These surges can be too quick for on-site generators to respond to, and they can put sudden strain on the grid. Another key challenge is how data centres can be seen as grid supporters rather than isolated power users, especially as power prices come under pressure.

Power storage stands out as a solution

For both challenges, **power storage** stands out as a solution.

Behind-the-meter power can already help smooth out demand spikes. And if combined effectively with utility-scale battery storage, it can give excess power back to the grid, boost overall capacity, and stabilise prices. Furthermore, batteries can help meet instant load surges, enhancing on-site generator performance. That is why we expect more battery systems to be added to data centres, not only alongside renewables, but also with gas-fired power generation.

Ultimately, data centres must adopt strategies that support local energy systems. That essentially means supporting consumers who rely on power from the grid. Battery storage onsite at data centres, as discussed above, will be an asset to the grid. Beyond that, participating in [virtual power plant \(VPP\) programmes](#) can make power demand from the grid more flexible (e.g. Google's deal with Voltus).

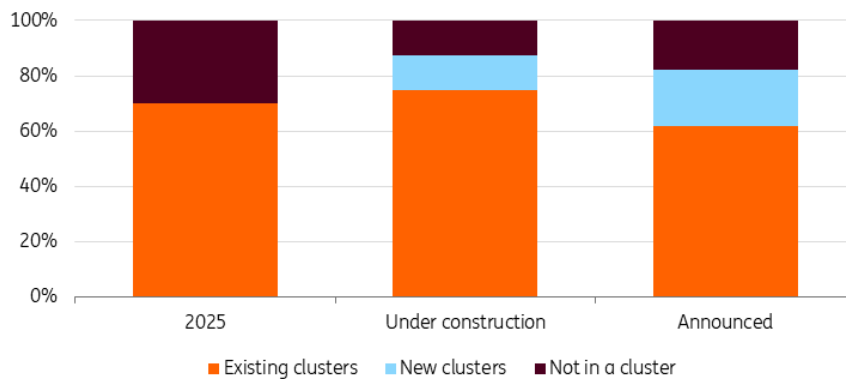
All these will become increasingly important as data centres are more vertically integrated with the energy sector (e.g. Google's acquiring of Intersect's digital power business). Smart data centre energy strategies, combined with evolving grid policies, will enable genuine energy transformation.

2. The rise of new ultra-large hubs calls for system efficiency

Data centres, especially those in the US, are large in size. Now, though, they are growing even larger, as demand from AI and cloud workloads continues to surge. Hyperscalers are moving from gigawatt factories to multi-gigawatt campuses. Colocation providers are shifting away from traditional enterprise models toward higher-capacity deals with anchor customers.

Traditionally, data centres are spatially concentrated to take advantage of shared infrastructure and customer proximity. Now, though, an increasing number of larger data centres are in development, meaning concentration is not going away. In North America, approximately **80%** of the data centres in the pipeline are expected to be in clusters, both existing and new.

Geographical distribution of data centres in the US



Source: International Energy Agency, ING Research. Note: Data centre clusters are defined as groups of facilities with a combined total designed capacity of over 500MW within a 100km radius.

Hyperscalers and operators are deepening the expansion of existing clusters, such as Northern Virginia and major Texas metropolitan areas, including Dallas and San Antonio.

Meanwhile, new hubs are forming. Rising land, power, and interconnection constraints in existing clusters are catalysing the emergence of new hubs such as West Texas and Ohio. Infrastructure in these regions is quickly developing. Digital infrastructure company US Signal, for instance, is constructing **over 1,000 miles** of new fibre networks across Ohio and Indiana. That length is enough to get you from New York City to Tampa, Florida.

For data centres, efficiency is key. This is true at the asset level, but it becomes more important at the system level – at clusters. Achieving system efficiency requires a holistic approach. Coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation stage.

Achieving system efficiency needs a holistic approach

For instance, new regional hubs serve both latency-sensitive AI inference and location-agnostic AI training. So, coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation.

Another key factor of system efficiency is local support. Data centre development can inevitably create pressure points for communities. For instance, in Ohio, now a major data centre hub, retail electricity prices rose 22% year over year. In some other cases, local communities have had concerns about data centre water usage and pollution. As local sentiment becomes a bigger consideration for project development, data centres need to demonstrate they can be part of the solution. Effective strategies include engaging with

communities early, identifying their needs, and reflecting them in project plans.

3. How remote data centre boomtowns can keep booming in the long term

But not all data centres will go for clusters. Some have headed to remote towns outside major metropolitan areas, betting that their multi-gigawatt ambition alone can achieve economies of scale.

One example is Abilene in Texas, home to the nearly 300,000-square-foot Stargate facility. The economic benefits from the project have surged: it has created thousands of construction jobs since its launch in mid-2024, while drawing in out-of-town labour. Other boomtowns and communities include New Florence, Missouri; Holly Ridge, Louisiana; and so on.

For these towns, much of the local economic growth now relies on data centres. That has raised questions about how these towns can sustain growth once data centre construction is completed. Studies suggest that for a traditional large data centre, operational job creation potential tends to be less than 10% of that of construction jobs.

We argue, however, that with the right strategies, data centres can meaningfully contribute to the development of local communities.

The key, first and foremost, is to **transform construction jobs into skill-oriented on-site asset management jobs**. As hyperscalers become larger and more sophisticated, the need for skilled labour to run such data centres could disproportionately grow. With more data centres pursuing behind-the-meter power solutions, there will be extra demand for labour capable of maintaining energy assets.

The second priority is to **transition from being a construction hub to becoming part of a broader AI ecosystem**. Even at the planning stage, data centres are encouraged to work with local stakeholders to develop a regional AI blueprint. For instance, Microsoft's hyperscaler buildout in Wisconsin includes partnerships with nearby colleges to support research and development (R&D), train skilled labour, and facilitate AI adoption among local companies, such as Regal Rexnord and Renaissance. By doing this, Microsoft is helping turn parts of Wisconsin into an "AI lab," with hyperscalers surrounded by educational institutions running dedicated AI programmes.

Data centre boomtowns need to transition from a construction hub to a broader AI ecosystem

This can create high-quality research jobs locally, with spillover benefits for employment in services and hospitality. Data centres would also benefit from working closely with state and

local governments to ensure that local communities have affordable housing, power, and other resources.

Conclusion

As AI becomes a megatrend affecting many sectors of the US economy, data centre development increasingly hinges on coordination across the supply chain and with local stakeholders. Power strategy, system-level efficiency and local alignment will increasingly define business success.

Ultimately, local support is a critical 'social license to operate'. Community trust will be awarded to players who align the interests of data centre developers, tenants, and power suppliers with those of local communities from the start. Data centres that incorporate flexible design, efficient hardware and software, and smart use of water and power – while engaging supply chains and local communities – are more likely to survive the 'boom' period and sustain long-term business continuity.

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Article | 1 July 2026

RATES

Rates Spark: UK political risk closely tied to inflation outlook

Sterling markets remain sensitive to inflation risks, which means any near-term fiscal spending initiatives would have a significant upward impact on GBP rates. The impact of spending further out in the future should be more muted. Meanwhile, US Treasury yields are showing a renewed appetite to test higher; we expect more of this



Sterling rates are still very sensitive to any inflation-inducing shocks

Sterling rates to stay sensitive to near term spending plans

Inflation remains the biggest threat to gilts, but with oil coming down, Burnham might be given more leeway from markets further out in the future. This is because the political risk in GBP rates is more about the UK's inflation outlook than sovereign risk. If Labour manages to pull off a fiscal expansion in the near term, then the prospect of reaching the inflation target of 2% could be delayed again. But with oil falling in recent weeks, the inflation outlook should soften next year.

Unfortunately for Burnham, at the moment, sterling rates are still very sensitive to any inflation-inducing shocks. This might be explained by the fact that the Bank of England has not managed to return inflation to target yet. When oil moved well above \$100, markets were

very quick to price in a significant tightening cycle, much more so than for the ECB. So any large spending initiatives in the near term could expect an immediate market reaction.

Important to note is that a fiscal expansion while inflation is rising is treated differently by markets than during a disinflationary environment. Markets are still pricing in a terminal Bank of England rate around 4%, even above the current bank rate of 3.75%. This should change next year, however, when we expect a more disinflationary environment. This means that the market impact of fiscal plans, such as the currently debated defence spending, depends on the timing of the spending. Near-term spending initiatives should push rates up more than spending further out into the future.

And just like that we're back at 4.45% for the 10yr UST

US Treasuries had an excuse to test lower in yields on Tuesday as consumer confidence for June came in weaker than expected (91.2 vs reference at 100). But instead, the market narrative centred on the better-than-expected job openings for May (7.6 million vs 7.3 million anticipated). However, that misses a finer point. It tells us that the bond market is not prepared to go with materially lower long-tenor yields. The 10yr Treasury yield has been trading in sub 4.4% territory in recent days, and looking for an excuse to test lower. It's actually had a few. One of them is the aforementioned consumer confidence reading. Instead, it has chosen to high-tail higher in yield. That gels with the duration of shedding flows seen last week, and it seems to us that more of that has been in play this week.

As a consequence, the 10yr yield finds itself back above 4.4%. It's been driven there by rises in both breakeven inflation and in the real yield. We're okay with both. Breakeven inflation is low enough and should not have material further room to the downside, regardless of what the oil price does. Remember the 10yr breakeven is effectively a 10yr average estimate, and does not have to be slavish to short-term oil price gyrations. Meanwhile, the real yield has also edged higher. We're okay with this too. The real yield should maintain a comfortable 2% handle in light of current growth circumstances, and future ones too, given the rally in risk asset space and the discount that this implies for corporate America.

Wednesday's events and market views

Eurozone headline inflation is expected to come in at 3% in June, just below the previous 3.2% reading. Also, for core CPI, the consensus sees a tick lower from 2.6% to 2.5%. Such softer readings would ease the ECB's concerns about second-round effects. From the US, we have ADP and Challenger job numbers, which will both be watched closely for any signs of labour market weakness. Thereafter, we get the ISM manufacturing indices. Consensus hopes that the prices paid component eases from 82.1 to 77.8, while the headline number should still point at robust growth. The more important non-farm US payrolls number will come in on Thursday.

Meanwhile, we should have many comments to process from central bank speakers as the conference in Sintra will go into the last day. In the afternoon we have a panel discussion with the Fed's Warsh, the ECB's Lagarde and the Bank of England's Bailey.

Spain plans a syndicated launch of a new 10y SPGB with an estimated size of €13bn. The UK will auction £4bn of 7y Gilts. Germany will auction €2bn across 15y and 30y Bunds. The US will auction \$28bn of 2y FRNs and \$70bn of a new 5y Note.

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Article | 1 July 2026

FX

FX Daily: Warsh should keep the dollar supported

The dollar remains well bid and holding onto the gains made since last month's FOMC meeting. Given the absence of forward guidance from the Fed now, there is going to be intense focus on any comments from the new Fed chair, Kevin Warsh. He speaks on a central bank panel today at the ECB's Sintra conference. A focus on price stability can keep the dollar bid



Fed Chair Kevin Warsh

↑ USD: Warsh's comments should be dollar supportive

The last time [Kevin Warsh spoke to financial markets](#), the dollar surged. This was at his debut FOMC meeting last month, where a dramatically shortened statement and a central commitment to price stability were read as hawkish by the markets. A hawkish set of Dot Plots clearly helped too. The message coming from that press conference was that the Fed had missed its inflation target five years running and would not let that happen again.

Kevin Warsh will speak in Sintra at 1500CET today, his first remarks since the FOMC meeting. Since then, he has seen another core PCE print at 3.4% YoY and another bumper jobs report. Consumer confidence has surprised on the upside and, despite recent volatility, US equities

remain closer to the upper end of recent ranges and are delivering near double-digit year-to-date returns. Given this backdrop, it is hard to see Warsh softening his hawkish tone.

While financial markets already price a sizeable 45bp of Fed tightening by the second quarter of next year, there is still a risk that the tightening is expected earlier. 22bp of tightening is priced for the September meeting and 8bp is priced for the next meeting on 29 July. A pushback against this market pricing would be a big surprise today and instead we suspect his comments present upside risks to the dollar today. Some in the market even think a July hike is possible.

Before Warsh speaks, we will see the ADP employment report for July. Any upside surprise above the +120k area could also prove dollar positive. And later in the day, US ISM manufacturing data should show an ongoing expansion.

DXY has held support at 101.00 and could push back to the 101.70/80 area as the market reacts to rare communication from the new Fed chair.

Chris Turner

↓ **EUR: ECB will try to hold the line at Sintra**

As our team have been discussing this week, we think it is too early for the ECB to abandon its tightening rhetoric – even though a second hike in September could be a policy mistake. The ECB script remains that last month's rate hike was not an insurance move, and it sounds like the ECB wants to talk tough to ride out this inflation hump and ensure that second-round effects do not emerge. That suggests market pricing of one ECB rate hike by early next year can stay in money market curves.

Eurozone data today will be the flash release of June CPI data, where headline and core are both expected to soften slightly.

EUR/USD could make a break back to the 1.1325 lows on Warsh today.

Chris Turner

↓ **CAD: USMCA review poses risks**

In theory, the review of the USMCA trade agreement – the agreement that replaced NAFTA – is due today. Most expect this will be delayed as the US, Canada and Mexico haggle over how to adjust the terms. It seems the US wants to strengthen some of the rules of origin language.

Clearly, any trade renegotiation activity proves a threat to Canada and Mexico. We see downside risks to the Canadian dollar here, also suffering from the strong dollar and a dovish Bank of Canada wanting to look through the inflation spike. Expect USD/CAD to hold above

1.42, with outside risks to 1.45 this month if USMCA discussions go wrong or the dollar overshoots.

Chris Turner

📉 CEE: Lower inflation in Poland increases pressure on zloty

Yesterday's June inflation in Poland brought another surprise to the downside, with a decrease from 3.1% to 2.5%, exactly the target of the National Bank of Poland. Although food prices were the main surprise to the downside in May, in June we saw a decrease across the entire basket, but food again remains the main factor. Core inflation is unlikely to have changed much, with our estimate between 3.0-3.1%.

The market has priced out all rate hikes and now dovish numbers support pricing rate cuts with around 10bp priced in the longer term. We still expect some deterioration in inflation towards the end of the year, which should leave the National Bank of Poland policy rate unchanged for a longer period. But in the meantime, we can see pressure on lower market rates which should further undermine the zloty's strength. EUR/PLN tested 4.300 as we expected, but for now this level remains strong resistance. If the NBP indicates openness to a rate cut next week, it could be a signal for EUR/PLN to continue higher.

Elsewhere in the region today we will see PMIs across the board, which have remained resilient since the start of the US-Iran conflict. Global relief could bring some improvement today. In the Czech Republic, mid-year budget figures will be published, which so far indicate an on-track execution this year, and in the middle of the month, MinFin is expected to publish a mid-year update on its funding strategy. Czech government bonds should see significantly lower supply than initially expected due to surprisingly strong demand for retail bonds.

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Article | 1 July 2026

COMMODITIES DAILY

The Commodities Feed: Oil has its worst quarter since 2020

Oil prices came under further pressure yesterday, leaving ICE Brent to close out its weakest quarter since 2020, dragged down by growing confidence that Persian Gulf crude flows are on the mend



Source: Shutterstock

Energy - US crude oil production and exports surge to record levels

The oil market finished the second quarter yesterday weak, with ICE Brent down a little more than 38% in the April-June period, the weakest quarterly performance since the first quarter of 2020 when the Covid crisis slammed demand. The oil market continues to take an optimistic view on a supply recovery from the Persian Gulf, despite recent flare-ups between the US and Iran. Indirect talks in Doha this week have reportedly been positive.

Tanker vessel movements in the Strait of Hormuz still appear limited. Total tanker crossings, which include both inbound and outbound movements, are estimated at around 11 on Tuesday, down from a peak of 24 last Wednesday. Admittedly, there has been a slight pickup in inbound tanker traffic, suggesting that shipowners are becoming increasingly confident about moving vessels into the Persian Gulf. If this trend accelerates, it becomes a clear

headwind—and potentially a direct challenge—to our view that oil prices should rise from current levels.

The latest data from the EIA shows that the US boosted crude oil production to a record level in April. Supply climbed to a record 13.93m b/d, up 1.6% month-on-month and 3.5% higher year-on-year. Monthly figures echo the weekly trend, showing total crude and petroleum product exports surging to a new record 13.61m b/d in April, up 1.74m b/d MoM and 3.26m b/d YoY. The surge in US oil exports has helped the market offset some of the supply losses from the Persian Gulf.

Numbers overnight from the API show that US crude oil inventories continue to fall despite some normalisation in Persian Gulf flows. Crude inventories reportedly fell by 6.07m barrels over the last week. Gasoline inventories are estimated to have fallen 2.11m barrels over the week, while distillate stocks increased by 2.9m barrels. The more widely followed EIA weekly report will be released later today.

There are reports that China eased restrictions on refined product exports after tightening controls on exports during the early stages of the war in the Persian Gulf. The government reportedly told some state refiners that they can resume exports of gasoline and diesel. Obviously, exports will still have to fall within government quotas. While the move does help ease some tightness concerns in product markets, particularly for middle distillates, we still expect middle distillate cracks to remain well supported. This is due to a longer post-war recovery in refined product supply and the potential for Russian export restrictions on diesel.

In the natural gas market, QatarEnergy reportedly extended force majeure on some LNG shipments to Asia and Europe until August, and in some cases into early September. This suggests that the LNG market could see a more gradual recovery in supplies following the temporary peace deal between the US and Iran. This leaves Europe more vulnerable as it moves through the injection season with lower-than-usual storage. It's likely to head into winter with storage levels below target.

Metals gain as markets watch Iran talks

Industrial metals moved higher on Tuesday as investors monitored renewed US-Iran talks and the outlook for US monetary policy. Copper climbed back above \$13,300/t, supported by easing concerns over disruptions to shipping through the Strait of Hormuz.

Aluminium remained under pressure, however, as the fading geopolitical risk premium continued to unwind. The metal is on track for its steepest monthly decline since 2008, reversing much of the earlier rally driven by fears of supply disruptions in the Middle East.

Positioning turned less supportive. LME aluminium speculative net longs fell for a third straight week to 68,814 lots in the week ending 26 June. This is the lowest since May 2021, as short

positions rose sharply amid easing concerns over the Strait of Hormuz. Copper net longs also declined for a fourth consecutive week to 48,735 lots, while zinc net longs fell for a third week to 28,222 lots, the lowest since October 2025.

Metals markets are increasingly focused on the Federal Reserve. Expectations that US rates could remain higher for longer are supporting the dollar, creating a headwind for commodities.

In precious metals, gold stabilised around the \$4,000/oz level after recent losses. Easing geopolitical tensions are reducing safe-haven demand, while expectations of a more hawkish Fed weighs on sentiment. A stronger dollar and higher yields remain challenging for non-yielding assets, although lingering uncertainty around the Middle East continues to offer some support.

Agriculture – USDA reports increase in grain inventories

In its quarterly stocks report, the USDA reported that corn inventories stood at 5,295m bushels as of 1 June, up 14% YoY. This was lower than the market expectations of 5,414m bushels. For soybeans, the agency reported inventories of 1,061m bushels, up 5% YoY and above the 1,050m bushels expected by the market. The increase was primarily due to weaker exports to China. Similarly, wheat inventories were reported at 920m bushels, up 8% YoY but below market expectations of around 931m bushels.

Meanwhile, USDA's latest acreage report estimates corn and wheat plantings will drop this year, while soybean acreage will increase. It projects 2026 corn acreage at 95.3m acres, lower than the 98.8m acres planted in 2025, and in line with the previous estimate of 95.3m acres. Similarly, the USDA projects 2026 wheat plantings at 42.7m acres, down from the 45.3m acres planted in 2025 and below the March estimate of 43.8m acres. Soybean planting estimates were raised to 85.4m acres, higher than the 81.2m acres planted in 2025, and above the previous estimate of 84.7m acres.

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Article | 30 June 2026

FX JAPAN UNITED STATES

USD/JPY: Back to the 1980s

In breaking above the 2024 highs near 162, USD/JPY has returned to levels not seen since the 1980s. Traders continue to second-guess when and where the Bank of Japan will intervene again, but the outlook for successful intervention remains poor



Tokyo: imagery from the 1980s reflects the backdrop revisited by USD/JPY

Intervention incoming

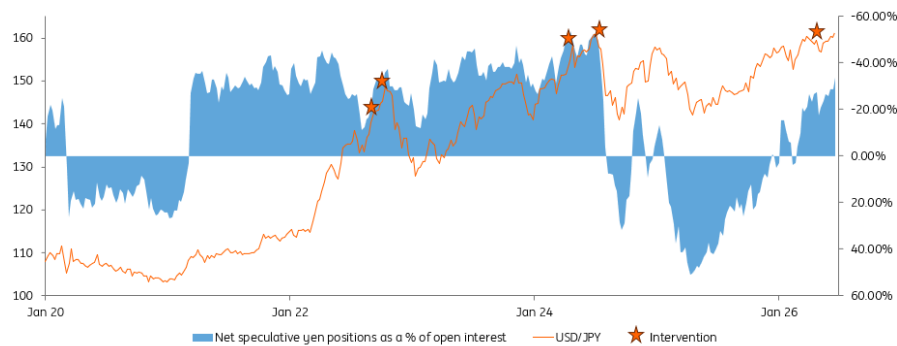
Having sold just over \$70bn in late April/early May at levels just above 160, the BoJ is widely expected to intervene again over the coming days and weeks. Japanese officials have made it clear that the weak yen poses a threat to import costs and Japan's cost of living crisis, which has been a key topic for the electorate. Currently, those cost of living concerns are being addressed through government subsidies, which themselves bring some concern for the bond market.

In recent years, the BoJ has typically intervened in clustered bursts of two to three days when it believes intervention is most likely to be effective. These episodes have tended to coincide with holiday-thinned market conditions, allowing the BoJ to deliver a bigger bang for its intervention buck. Also important is market positioning. What we note today is that the speculative position is quite short yen, but not as extreme as it was during the successful intervention campaign of summer 2024.

In terms of immediate timing, we suspect the BoJ might hold off ahead of possible dollar-positive event risks such as remarks tomorrow from Federal Reserve Chair Kevin Warsh and Thursday's release of the June US jobs report. That makes Friday's US July 4th holiday a possible window for intervention.

A no-show from the BoJ this week would strengthen the case for holding off until 16–17 July, just ahead of Japan's next public holiday, Marine Day on 20 July. That was the 2024 playbook. If the BoJ does wait until later in July and US data and Fed speak remain hawkish, USD/JPY could be trading around 164–165 by then. For reference, the FX options market now attaches a 37% probability to USD/JPY touching 165 by the end of July.

Speculative yen positions and USD/JPY



Source: Japanese Ministry of Finance, ING

Constraints on intervention?

FX reserves are finite resources and bouts of selling are used with care. Currently, Japan has close to \$1.1trn in FX reserves. The low point this decade has been around \$1.07trn, but we doubt the \$1trn level represents a psychological floor. As a reserve currency issuer with a huge net international surplus position after decades of current account surpluses, Japan is not subject to the same reserve adequacy constraints as many other countries. That said, we suspect the authorities would be reluctant to lose more than a third of their reserves to intervention (as Chile did in 2022), suggesting that the \$800-900bn range could be a practical floor for Japan's FX reserves.

At the same time, we think the Japanese are taking notice of the IMF's classification system for 'free floating' exchange rates and would not want to lose that status. Intervening on more than three instances over a six-month period could see Japan's currency regime downgraded to just 'floating'. The IMF defines an 'instance' of intervention as lasting no longer than three business days. Being re-classified as a floating regime would see Japan lose its seat at the top table, with potential implications for sovereign and corporate borrowing costs.

The US Treasury angle

Let's not forget that when the BoJ sells FX, it is selling part of its securities book. Indeed, the May FX reserve data showed the BoJ's holdings of securities dropping \$75bn – which presumably reflects sales of US Treasuries. That should also be confirmed when the US TIC data is released for the month of May. Equally, TIC data back in 2024 did show a large reduction after the intervention campaign that summer.

On the subject of the US Treasury, we have said before that joint FX intervention between the US and Japan would be a big deal and deliver a sharper market adjustment. Were we to see headlines of the Fed checking rates, or indeed selling USD/JPY, traders would be looking at whether that activity was merely the Fed acting as an agent for the Japanese or on behalf of the US Treasury. Recall that USD/JPY sold off heavily in January this year when the Fed checked USD/JPY rates late on a Friday – an operation conducted on behalf of the US Treasury.

The USD/JPY outlook

The yen is very cheap, but the BoJ realises that trying to sell USD/JPY into a fundamentally driven rally can only slow, not reverse the trend. The success of intervention in 2024, in addition to extreme short yen positioning, owed a large part to the turn in the dollar cycle as the Fed prepared to cut rates in September 2024.

Currently, with US activity data holding up and investors exploring the dollar's upside on a potentially hawkish Fed, the BoJ can only hope to slow the USD/JPY advance this summer. At the same time, the market suspects that government pressure will not allow a rapid tightening cycle from the BoJ this year, where the market now prices just one 25bp hike – to 1.25% – by year-end. That looks unlikely to provide much support to the yen.

USD/JPY looks like it can probably trade near the 160 area for several more months, possibly nearing 165 before intervention, and trading as low as 155/157 depending on the size and timing of intervention. And currently, we have a 158 year-end 2026 forecast – with some downside risks if Fed hawkishness abates on lower US inflation and softer activity by year-end.

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THINK economic and financial analysis

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Article | 30 June 2026

CZECH REPUBLIC

Czech expansion continues at a milder pace

Czech real GDP growth was confirmed at 2.2%, while private consumption and fixed investment dynamics were revised downwards. Solid incomes could still propel consumer spending, but labour market difficulties determine the direction here. ETS2 is planned for 2028, arguably presenting another blow to European industry

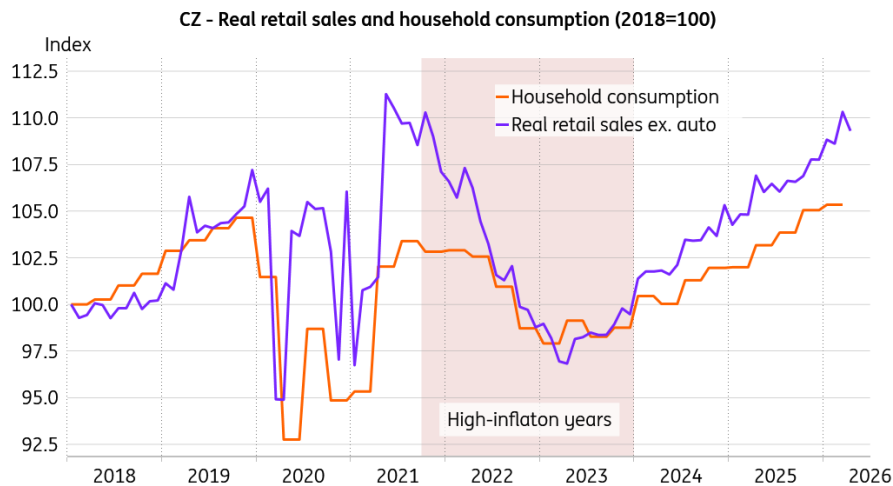


Czech real GDP growth in the first quarter has been confirmed at 2.2%

Revised consumption and investment

The Czech real GDP growth in the first quarter of 2026 was confirmed at 0.2% quarter-on-quarter and 2.2% year-on-year. The new release shows a downward revision to the quarterly dynamics in household consumption to 0.3% and in fixed capital formation to 1.5%. In contrast, the quarterly dynamics of government consumption were revised upwards to 0.1%.

Muted household consumption gain in 1Q26



Source: CZSO, Macrobond

The investment rate of non-financial corporations increased by 0.5ppt from the previous quarter and 1.5ppt from the previous year, reaching 28.2% in 1Q26. Meanwhile, the profit rate dropped by 1.3ppt from the previous quarter and by 2.5ppt from the previous year, reaching 42.5% in 1Q26. Total wage costs of non-financial corporations added 8.7% YoY.

The average monthly income from employment added 1.0% QoQ in real terms and 5.6% YoY. The total real income of households per capita gained 0.3% QoQ in 1Q26 and increased by 3.2% YoY. The household savings rate in 1Q26 was 20%, which is 0.1ppt less than in the previous quarter and 0.3ppt more than a year ago.

Profitability is the key

The new investment cycle remained intact in 1Q26, though the annual dynamic eased. The appetite for investment is still there, as suggested by the rising investment rate. However, weaker profitability combined with increased uncertainty prompted by the Middle Eastern conflict may somewhat hamper fixed investment performance throughout the second and third quarters of this year. The ample income growth in both nominal and real terms can further foster consumer spending, but the dichotomy in the labour market that tends to favour experienced workers and leave low-income earners behind may inhibit any further acceleration.

And yes, it is profitability that enables both ample investment and punchy wage increases. Nevertheless, the profitability of European companies may come under even more serious pressure from foreign competition.

In particular, dumping export prices of Chinese producers – often enabled by state subsidies and other debated practices – present an existential risk. Combined with higher energy costs

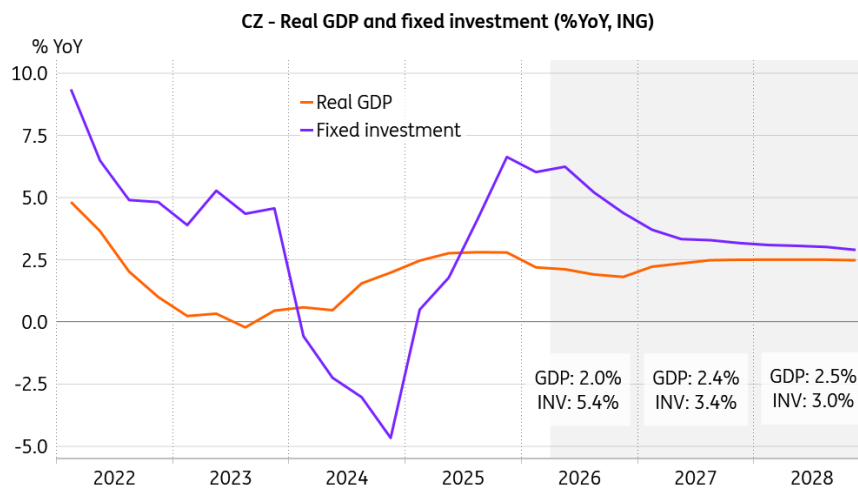
than almost anywhere else in the world, European industry is fighting an uphill battle – one it isn't guaranteed to survive.

ETS2 to hit in 2028

The EU ETS2 emissions pricing system has been approved by the European Parliament and is scheduled to start on 1 January 2028. This is a burden not only for households but also for small and medium-sized companies. The consequence is that resources for any homegrown research and innovation will be even smaller, which will only shift Europe closer to a subsidies-driven planned economy and further from market-based competition. And in the Czech Republic, memories still linger of poor supply under a state-run economy.

Perhaps a useful analogy here is Europe's space research. You can proceed with training in Cologne's European Astronaut Centre, but one problem remains: Europe doesn't have a decent space rocket. And with the ongoing regulatory push, Europe may risk reaching a dead end in the AI domain as well. Indeed, you may become the spearhead in AI regulation, but do you really have major players to regulate? Perhaps not; the regulatory burden could discourage their emergence. The story is similar for industry and energy: you squeeze the producers so much that, in the end, you may eventually end up with too little left to sustain.

Solid investment fosters growth potential



Source: CZSO, ING, Macrobond

In any case, we expect the Czech economy to continue to outperform that of the wider eurozone over the coming years, mostly on the back of two underlying driving forces: a) a sense of pragmatism and b) a sense of self-preservation. It could be argued that the recent shift observed, for example, in Germany towards closer cooperation with China (including asset sell-offs) rather than competing reflects neither. Instead, it appears more akin to a form of economic pessimism, partly driven by Europe's challenging business environment,

characterised by extensive regulation, high energy costs, and persistent uncertainty.

It remains to be seen how Czech firms will cope with these conditions over the longer term. Incorporating the revised GDP breakdown and lower Brent crude prices, we maintain our forecast of 2% growth this year and 2.4% next year.

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